INSTRUCTIONAL AREA
Managing Risk

PERSONAL FINANCIAL LITERACY EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Explain why homeowners' insurance is required by a lender when a homeowner takes out a mortgage.
2. Explain the primary types of losses covered by auto, homeowner's, and renter's insurance policies.
3. Identify factors that influence the cost of renter's insurance and homeowners' insurance.

EVENT SITUATION

You are to assume the role of an insurance agent at KEYSTONE MUTUAL INSURANCE. A first-time homebuyer (judge) has been told by a mortgage lender that a homeowner's insurance policy is required before the home purchase can be completed and wants your help understanding it.

The homebuyer (judge) is buying a three-bedroom townhouse for $285,000 and will close on the home in 30 days. The homebuyer (judge) is taking out a mortgage to pay for the townhouse. The mortgage lender has said the homebuyer (judge) must show proof of a homeowner's insurance policy before closing. The homebuyer (judge) is frustrated, because this feels like one more expense on top of the down payment and closing costs.

The townhouse was built in 1998, and its roof was replaced five years ago. It is located two miles from a fire station. The homebuyer (judge) owns a large dog and is thinking about installing a home security system after moving in.

Before making a decision, the homebuyer (judge) wants you to explain the following:

- Why does the lender require homeowner's insurance?
- What kinds of losses does a homeowner's insurance policy cover?
- What factors will affect how much the homeowner's insurance will cost?

You will present the information to the homebuyer (judge) in a role-play to take place in your office. The homebuyer (judge) will begin the role-play by greeting you and asking about homeowner's insurance. After you have presented the information and have answered the homebuyer's (judge's) questions, the homebuyer (judge) will conclude the meeting by thanking you for your work.

Possible Judge's Questions:

1. If a big storm floods my basement, will my homeowner's policy pay for the damage?
2. Once I pay off my mortgage someday, should I still keep homeowner's insurance?

	Did the participant:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain why homeowners' insurance is required by a lender when a homeowner takes out a mortgage?	0-1-2-3-4-5	6-7-8-9-10-11	12-13-14-15-16	17	
2.	Explain the primary types of losses covered by auto, homeowner's, and renter's insurance policies?	0-1-2-3-4-5	6-7-8-9-10-11	12-13-14-15-16	17	
3.	Identify factors that influence the cost of renter's insurance and homeowners' insurance?	0-1-2-3-4-5	6-7-8-9-10-11	12-13-14-15-16	17	
SOLUTION						
4.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4	5-6	7	
					TOTAL SCORE	